



Bule Hora University College of Agriculture Science Departments of Agricultural Economics

Model Exam Part-I for Nine Courses

1. *Micro Economics I*
2. *Micro Economics II*
3. *Macro Economics I*
4. *Macro Economics II*
5. *Development Economics*
6. *Natural Resource and Environmental Economics*
7. *Operational Research*
8. *Research Methods*
9. *Econometrics*

Compiled By Exit Exam Committees

Instruction

- ✓ **Do not write** on this document
- ✓ Use based **on your group**
- ✓ It must be **turned back to department after** the completion of exit exam
- ✓ **Do not tick/on the answer**
- ✓ Please **read all the materials related to the courses** do not limited with question
- ✓ You can **communicate your respected instructors** if there is a problem on question and confusing items

May, 2015
Bule hora University, Ethiopia

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1. Which one of the following refers to the output per unit of variable factor?
A. AP B. TP C. MP D. None
2. The imputed value of the inputs owned by the firm and used by it in its own production is
A. Explicit cost B. Implicit cost
C. Economic cost D. Accounting cost
3. Which cost curve slopes downward continuously from left to right?
A. AVC B. ATC C. MC D. AFC
4. Assume the total cost of a producer of a commodity in the short- run is given by the equation: $TC = 50 + Q^2 + Q$
Where: TC = total cost, Q = level of output. What is MC of producing 3rd unit of output?
A. 6 birr B. 7 birr C. 20.67 birr D. 62 birr
5. The process of using different factors of production in order to make goods and services available is known as
A. Investment B. Production C. Resource D. Consumption
6. When the short-run marginal production of labor is greater than the average product of labor:
A. AP is increasing B. AP is decreasing
C. AP is minimum D. AP is equal to zero
7. Which one of the following is true for the relationship between AC and MC?
A. When MC greater than AC, AC falls
B. When MC less than AC, AC rises
C. When MC less than AC, AC falls
D. When MC greater than AC, AC is minimum
8. Suppose the cost and revenue function are given as: $TC = 500 + Q^2$ and $TR = 12Q - 2Q^2$ Where TC = Total cost, Q = level of output, TR = Total revenue. What is profit maximizing level of output?
A. 2 unit B. 4 unit C. 6 unit D. 8 unit
9. Which one of the following is not held constant in defining the law of demand?
A. Income
B. Price of related goods
C. The price of the own goods
D. Number of consumers
10. Among the given economic problems, which one is concerned with the different combination of input and techniques of production?
A. What to produce?
B. How to produce?
C. How much to Produce?
D. When to produce?
11. Any point lying on a production possibility frontier curve indicates:
A. Inefficient utilization of resources
B. Full utilization of resources
C. Unattainable combination of good to be produced
D. None
12. One of the following is not characteristic of oligopoly market structure
A. Few small firms dominate the entire firm
B. There is either homogeneous or differentiated product
C. There is substantial barriers to entry
D. Price is not flexible
13. Among the given alternatives, which one is not true about Non-collusive oligopoly?
A. There is no collusion among competitors
B. Each firm develops an expectation about what the other firms are likely to do
C. Firms are independents
D. None
14. Let's assume that there are two resource named labor and capital. If the price of capital is r and the price of labor is w, which one of the following is not the effect of declining in the price of labor wage rate in the production process?
A. Output effect
B. Profit effect
C. Substitution effect
D. None
15. Which one of the following is not true about monopolistic competitive market structure?

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- A. The demand for the product of the firm is downward sloping
 - B. The firm has monopolistic power in the input market
 - C. MRP_L is not equal with VMP_L
 - D. The marginal revenue curve lies below the demand curve at all levels of output
16. In which non- collusive model, firms simultaneously compete in terms of quantity supplied to the market?
- A. Kinked demand curve model
 - B. Cournot's duopoly model
 - C. Bertrand's duopoly model
 - D. Stackelberg's duopoly model
17. Assume there are 700 firms in the given industry. What is individual and market supply according to cournot's duopoly model?
- A. 99.86% of the total demand and 0.14% of the market supply, respectively
 - B. 0.14% of the market supply and 99.86% of the total demand, respectively
 - C. 77% of total demand and 33% of the market supply, respectively
 - D. 33% of the market supply and 77% of total demand, respectively
18. In which form of price leadership, the firm usually has proved itself as a 'reasonably' good forecaster of changes in cost and demand conditions in the particular industry and by following it the other firms can be reasonably sure that they choose the correct price policy?
- A. Low cost price leadership
 - B. Barometric price leadership
 - C. The dominant firm price leadership
 - D. None
19. Which one of the following is not true about market failure?
- A. It is a situation where an idealized market equilibrium model appears to generate efficiency
 - B. It occurs when the invisible hand pushes in such a way that individual decisions lead to socially desirable outcomes.
 - C. It occurs when the prerequisites for perfect competition are unlikely to hold in the real world.
 - D. It is a situation where market fails to produce the right amount of the product.
20. Which one of the following is an example of positive consumption externality?
- A. Pollination of blossom arising from proximity to apiary
 - B. Water pollution by a steel industry for a fishery down the stream
 - C. A smoker smoking cigar next to an individual eating in a restaurant
 - D. Pleasure from listening to a slow music from your neighbor
21. In game theory, each course of action open to a player is
- A. Strategy
 - B. Information
 - C. Set of players
 - D. Payoff
22. Which one is not true about game theory?
- A. It examines the choice of optimal strategies in conflict situations
 - B. It attempts to study decision-making in situations where there is a mixture of conflict and cooperation as in oligopoly.
 - C. It shows how an oligopolistic firm can make strategic decisions to lose a competitive advantage over its rivals
 - D. It shows how it can minimize the potential harm from strategic moves by a rival
23. Assume that for the year 2002, nominal GDP is dollar 6000, and real GDP is dollar 4000, then the GDP deflator is?
- A. 171. B. 150 C. 66.66 D. 145
24. The curve that shows relationship between the general price level and the amount of real GDP demanded is?
- A. Vertical line B. Upward sloping C. Downward sloping D. Horizontal line
25. Which of the following is NOT a component of fiscal policy?
- A. The way the government mobilizes its revenue
 - B. The way the government sets exchange and interest rates
 - C. Determination of tax burden
 - D. The policy of the government employed to raise revenue

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26. The management of money supply and its link to prices, interest rates and other economic variables by a government regulatory body is known as.
- A. Fiscal policy
 - B. Trade policy
 - C. Monetary policy
 - D. Financial Institutions
27. Unemployment caused by the time it takes workers to search for a job is called.
- A. Frictional unemployment
 - B. Structural unemployment
 - C. Seasonal unemployment
 - D. Cyclical unemployment
28. The situation in which people work below their capacity refers?
- A. Natural rate of unemployment
 - B. Disguised unemployment
 - C. Underemployment
 - D. Open unemployment
29. The measure of the overall cost of the goods and services bought by a typical consumer?
- A. Producer price index
 - B. Consumer price index
 - C. GDP deflator
 - D. Inflation rate
30. An increase in the price of goods bought by firms and the government is shown up in?
- A. the GDP deflator but not in the CPI
 - B. the CPI but not in the GDP deflator
 - C. neither the CPI nor the GDP deflator
 - D. both the CPI and the GDP deflator.
31. Which one of the following combination of fiscal and monetary policy is an expansionary type respectively?
- A. Increase taxes and sell government bonds
 - B. Decrease taxes and buy government bonds
 - C. Decrease government expending and lower discount rate
 - D. Increase government expenditure and raise discount rate
32. The tool of monetary policy that the Central bank uses most frequently is?
- A. Reserve requirement
 - B. Discount rate
 - C. Open market operations
 - D. Government expenditure
33. The ratio of the total output, Gross Domestic Product to total population of the country.
- A. Consumer price index
 - B. Balance of payment
 - C. Gross domestic product
 - D. Per capita Income
34. With what kinds of topics does macroeconomics concerned?
- A. Economic activities of individual firms, households, and other organizations
 - B. Forces of supply and demand in a particular market
 - C. Aggregate economic phenomena like the rate of unemployment and inflation
 - D. Consumer behavior and firms output decisions
35. Which of the following is NOT one of the ideas associated with the school of classical economics?
- A. Specialization and the division of labor
 - B. Markets sometimes fail, invites government intervention
 - C. Laissez-faire and the functioning of markets free of government intervention
 - D. Supply creates its own demand
36. Which of the following is NOT one of the ideas of Keynesian economics?
- A. Governments should focus on keeping the money supply steady
 - B. Active use of fiscal policy can help keep employment rates up
 - C. Government intervention is necessary for the smooth function of the economy
 - D. Fiscal policy is preferred to monetary policy for carrying out stabilization policies.
37. The economist who argued that the market mechanism can fail by leaving insufficient demand and that governments could intervene by increasing aggregate demand was named?
- A. John Maynard Keynes
 - B. Jean Baptiste Say
 - C. Milton Friedman
 - D. Adam Smith
38. Which one of the following is correct about nominal GDP and real GDP?
- A. NGDP remain unchanged if there is no change in physical output
 - B. At selected base year, both RGDP and NGDP are equal.
 - C. RGDP may changes simply because of price change even if physical output is not changed.
 - D. GDP deflator is greater than one at selected base year
39. Which hypothesis states when people decide how much to consume and how much to save, they consider both the present and future?
- A. Keynesian absolute income hypothesis
 - B. Relative income hypothesis
 - C. Friedman's permanent income hypothesis

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- D. Fisher's intertemporal model of consumption
40. According to the theory of Relative income hypothesis, in which community a person with monthly income of 7000 is expected to expend more on consumption?
- A. 2700, 3000, 12000, 1200
 - B. 4000, 2000, 3500, 1700
 - C. 5000, 8000, 12300, 11000
 - D. 3500, 2500, 1800, 1375
41. Suppose an individual is to receive 20,000 Birr after one year from today. If the market rate of interest is 15 percent, what is the value of 20,000 Birr today?
- A. 15345
 - B. 17391
 - C. 17880
 - D. 23249
42. The case where the government action such as fiscal policy or government investment activity itself reduces the investment in the private sector is termed as?
- A. Depreciation
 - B. Crowding effect
 - C. Contractionary policy
 - D. Expansionary policy
43. The management of money supply and its link to prices, interest rates and other economic variables by a government regulatory body is known as.
- A. Fiscal policy
 - B. Trade policy
 - C. Monetary policy
 - D. Financial Institutions
44. An Investment which is made irrespective of income level is termed as?
- A. Induced investment
 - B. Rate of interest
 - C. Autonomous investment.
 - D. Rate of interest
45. A reduction in inflation can best be achieved by which of the following combination of fiscal and monetary policy?
- A. Increase taxes and sell government bonds
 - B. Decrease taxes and buy government bonds
 - C. Decrease government expending and lower discount rate
 - D. Increase government expenditure and raise discount rate
46. Which one of the following is true about Gini Coefficient?
- A. The lower the value of the coefficient, the higher the inequality of income distribution.
 - B. The higher the value of the coefficient, the lower the inequality of income distribution.
 - C. The higher the value of the coefficient, the higher the equality of income distribution.
 - D. The higher the value of the coefficient, the higher the inequality income distribution.
47. Which of the following statement is false about Lorenz curve?
- A. The bowed Lorenz curve shows an equal distribution of income
 - B. The bowed Lorenz curve shows an unequal distribution of income
 - C. The greater degree of inequality, the greater the bend of Lorenz curve to the horizontal axis
 - D. When all households received the same percentage of total income Lorenz curve would be the line of perfect income equality.
48. Which one of the following statement is true?
- A. Relative Poverty is common in developing countries
 - B. Relative Poverty is common in developed countries
 - C. Absolute Poverty is common in developed countries
 - D. All
49. Which one of the following is **true** about the assumption of Solow growth model?
- A. One percent increase in inputs, more than one percent increase in output
 - B. One percent increase in inputs, one percent increase in output.
 - C. One percent increase in inputs, less than one percent increase in output
 - D. One percent increase in inputs, more than two percent increase in output
50. Which one of the following is false?
- A. Economic growth is much broader concept than economic development
 - B. Economic development is focus on the income and living standard of people the country
 - C. Economic growth is focus only on the income of the people of the country
 - D. Economic growth is narrow concept than economic development
51. The Harrod-Domar growth model suggests that growth is
- A. Directly related to savings and inversely related to the capital output ratio.
 - B. Directly related to the capital output ratio and inversely related to savings.
 - C. Indirectly related to savings and the capital output ratio.
 - D. Directly related to savings and the capital output ratio.

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52. Which of the following was not a classical economist?
A. Adam Smith. B. Thomas R. Malthus.
C. John Stuart Mill. D. John Maynard Keynes.
53. Which one of the following is **incorrect** in Lewis theory of development?
A. the modern sector characterized by zero marginal labor productivity $MPL=0$.
B. the traditional sector is overpopulated
C. The modern sector has high Productivity and shortage of labor
D. The traditional sector has high unemployment
54. Which of the following countries are economies in transition NICs?
A. Russian Federation B. Japan
C. United Kingdom D. United states.
55. All of the following are high-income countries except
A. Singapore B. U.K C. Japan D. China
56. Disguised unemployment is
A. When marginal revenue productivity of labor is zero.
B. The same as seasonal unemployment of LDC agricultural.
C. The rigid factor proportions in LDC agriculture and industry.
D. Due to capital formation and the level of technology remaining constant.
57. Economic development refers to
A. Economic growth.
B. Economic growth plus changes in output distribution and economic structure.
C. improvement in the well-being of the urban population.
D. Sustainable increases in Gross National Product.
58. The Human Development Index summarizes a great deal of social performance in a single composite index, combining
A. Disparity reduction rate, human resource development rate and the composite index.
B. Longevity, education and living standard.
C. Minimum schooling, adult literacy and tertiary educational attainment.
D. Human resource training, development and research and development.
59. Adam Smith advocated
A. Laissez-faire. B. The invisible hand.
C. Free-trade policy and competitive markets D. All.
60. Which one of the following is not true about sustainability?
A. Sustainable state is one in which the natural capital stock is declining through time.
B. A sustainable state is one in which utility or consumption is non-declining through time
C. A sustainable state is one in which resources are managed so as to maintain production opportunities for the future.
D. A sustainable state is one which satisfies minimum conditions for ecosystem resilience through time
61. Which one of the following is not correct about non-renewable resources?
A. Resource that have capacity to grow in size over time, through biological reproduction
B. Resource that does not have that capacity to grow over time
C. Stocks of minerals are some examples
D. Are exhaustible or depletable resources
62. Which one of the following is not causes of market failure.
A. Positive or negative externalities
B. Perfectly competitive market structure
C. Public goods, Monopolies and cartels
D. Lack of market for environmental services
63. Which one of the following Stated Preference Technique environmental valuation?
A. Hedonic Pricing B. Aversion Costs
C. Contingent Valuation Method D. Travel Cost Method
64. The value of land in clean area is so difference than the value of land in dirty area, which type of valuation techniques is used to value such conditions.
A. Hedonic pricing method B. Travel cost method
C. Contingent valuation method D. Choice modeling

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65. ____ is a condition that the marginal rates of utility substitution for the two individuals A and B are equal in NR allocation while ____ is a condition that have equal marginal rate of technical substitution of two commodities X and Y.
- A. Efficiency in production and Efficiency in consumption
 - B. Efficiency in consumption and Efficiency in production
 - C. Efficiency in consumption and Product-mix efficiency
 - D. Efficiency in production and Product-mix efficiency
66. The owner of non-renewable resource can either extract today or hold it to extract in the future based on.
- A. Extraction cost of the resources
 - B. Price of the resources
 - C. Risk free interest rate
 - D. All
67. Which one of the following is not a stock pollutant?
- A. Carbon dioxide
 - B. Synthetic chemicals
 - C. Non-biodegradable bottles
 - D. Heavy Metals like Lead
68. Which one of the following is not important for Environmental valuation?
- A. Many environmental goods and services have no market prices.
 - B. Exclusion of environmental impacts in cost benefit analysis of projects/policies.
 - C. Determination of targets for environmental quality standards
 - D. Accounting for environment impacts in measuring national economic performance
69. There are different methods of pollution control instruments but we must choose the one with;
- A. Cost effective and long run effect
 - B. Dynamic and flexible
 - C. Equitable and riskless
 - D. All
70. Which one of the following is not included under abatement costs?
- A. Costs of installing to expand pollutants from discharges
 - B. Costs of using clean production technologies
 - C. Costs of premature closure of polluting production facilities
 - D. Costs of reducing emissions by operating polluting plants at lower output
71. Which one of the following is not true about three themes of natural resource economics?
- A. Sustainability the sum of efficiency, optimality and posterity
 - B. Efficiency is a necessary but not a sufficient condition for optimality
 - C. Optimality is the resource use decision desirable from that society's point of view
 - D. Efficiency is a necessary and sufficient condition for optimality
72. Which one of the following is not included in under command and control regulations pollution?
- A. Output quotas
 - B. Technology controls
 - C. Emission tax
 - D. Emissions licenses
73. For a given NLP, $Y=f(X)$, the optimum condition occurs at the point where?
- A. $f'(X)=0$ and $f''(X)$ meets second order conditions
 - B. A relative minimum occurs where $f'(X)=0$ and $f''(X)>0$
 - C. A relative maximum occurs where $f'(X)=0$ and $f''(X)<0$
 - D. All
74. Which one of the following is not the objective of operational research?
- A. Maximize profit, sale & yield
 - B. Maximize output, utility & quality
 - C. Maximize time and suffering
 - D. Minimize losses, cost & risks
75. Which one of the following is not importance of operational research for decision maker?
- A. To improve his creative and judicious capabilities
 - B. To analyze and understand the problem situation leading to better control,
 - C. To increase complexity of the problem
 - D. For better co-ordination and better decisions
76. Which one of the following is the application of operational research for agriculture science?
- A. Agricultural Investment decisions, Inventory control & Portfolio analysis
 - B. Facility design, Agricultural Project management & Product mix determination
 - C. Allocation of scarce resources
 - D. All
77. In Simplex method, the inequalities are converted into equations by
- A. Adding a Surplus Variable in maximization problem & subtracting a Slack Variable in case of minimization problem

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- B. Subtracting a Surplus Variable in case of minimization problem & adding a Slack Variable in maximization problem
C. Adding a Slack Variable in minimization problem & subtracting a Surplus Variable in case of maximization problem
D. Subtracting a Slack Variable in maximization problem & adding a Surplus Variable in case of minimization problem
78. Which one of the following is not true about artificial variables technique?
A. Artificial variables are fictitious and have no any physical or economic meaning.
B. Artificial variables are used for greater than equal to type of inequalities and equal to equations constraints.
C. Artificial variables enter in to the objective function with -ve value (-M) for maximization and +ve value (+M) for minimization, where $M > 0$.
D. Artificial variables enter in to the objective function with +ve value (+M) for maximization and -ve value (-M) for minimization, where $M > 0$.
79. Which one of the following is not true about assumption of transportation problem?
A. Each source has a fixed supply of units, where this entire supply must be distributed to the destinations.
B. All goods are heterogeneous, so that any origin is capable of supplying to any destination.
C. Transportation costs are a linear function of (or directly proportional to) the quantity shipped over any route.
D. Each destination has a fixed demand for units, where this entire demand must be received from the sources.
80. A solution which can increase or decrease the value of the objective function of linear programming problem indefinitely is?
A. Optimum solution B. Unbounded solution
C. Feasible solutions D. Infeasible solution
81. A company is in the business of manufacturing two products X and Y. The company has 40 hours for assembly and 32 hours for finishing work per day. Manufacturing of X requires 4 hours for assembly and 2 hours in finishing. Similarly Y requires 2 hours for assembly and 4 hours for finishing. Every X would contribute Birr.80, while Y contribution is Birr.55 respectively. What is the optimal solution?
A. $X=8, Y=4, Z=860$ B. $X=4, Y=8, Z=890$
C. $X=10, Y=6, Z=680$ D. $X=6, Y=12, Z=890$
82. Which one of the following is not true about conversion of Primal to dual?
A. The constants in the objective function of the primal appear in the constraints of the dual
B. The constants of the primal appear in the coefficient in objective function of the dual
C. The coefficient matrix of the constraints of the dual is the inverse of the primal
D. The coefficient matrix of the constraints of the dual is the transpose of the primal
83. From a given function $\text{Min } Z = X^2 + Y^2$ subject to $X + Y = 10$ that satisfy non negativity constraints, what is the optimal solution for this NLP?
A. $X=4, Y=6, Z=120$ B. $X=6, Y=8, Z=60$
C. $X=5, Y=7, Z=90$ D. $X=5, Y=5, Z=50$
84. Which one of the following is not true about game theory in operational research?
A. It is a framework to study strategic interactions between players, firms, or nations.
B. A payoff is a rule or plan of action for playing a game
C. A solution to a game describes the optimal decisions of the players, who may have similar, opposed, or mixed interests.
D. For forecasting or predicting the output of interactions between different participants or competitors in which reaction of one depends on the action of others.
85. Which one of the following research philosophical perspective deals with the nature of the reality?
A. Ontology B. Axiology C. Epistemology D. Positivism
86. Among the following research types, which one is conducted for solving immediate problems?
A. Quantitative research B. Empirical research
C. Action research D. Applied research
87. The first step in a research process is
A. Review of literature B. Formulating hypothesis
C. Formulating a research problem D. Research design
88. Most of research methodologies that are commonly used in science fall under the category of.
A. Realistic B. Positivist C. Interpretivist D. Pragmatist

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89. Which of the following is true about the selection of a research problem or topic?
- A. Overdone subject should be chosen
 - B. Too vague problems must be chosen
 - C. Researcher's familiarity with research methods should be ignored
 - D. Relevance of the subject should be considered
90. One of the following is NOT the cause of systematic bias.
- A. Inappropriate sampling frame
 - B. Natural bias in data reporting
 - C. Presence of non-respondents in predetermined sample
 - D. Random variations in sample estimates around true population parameters
91. The sample size of particular study is NOT affected by one of the following factor.
- A. Systematic bias
 - B. Level of precision
 - C. Confidence level
 - D. Degree of variability
92. A meta-analysis is an example of
- A. Instrumental review
 - B. Evaluative review
 - C. Exploratory review
 - D. Systematic review
93. If a population from which a sample is to be drawn does not constitute a homogeneous group, which of the following sampling method is appropriate?
- A. Quota sampling
 - B. Simple random sampling
 - C. Stratified random sampling
 - D. Purposive sampling
94. Gemeda wants to study the effect of religion on meat consumption. To measure a religion, Gemeda should use which scale.
- A. Ordinal
 - B. Nominal
 - C. Interval
 - D. Ratio
95. Data collection using personal interview method is advantageous compared to observation method because,
- A. Personal interview method is inexpensive
 - B. No interaction is needed between researcher and respondents
 - C. More information can be obtained in detail
 - D. Subjective bias is eliminated
96. Which of the following data collection method is odd?
- A. Experiment
 - B. Observation
 - C. Interview
 - D. Focus group discussion
97. One of the following is NOT the component of a research proposal.
- A. Research methodology
 - B. Literature review
 - C. Activities and budget need
 - D. Conclusion and recommendations
98. Why conducting literature review is considered to be important?
- A. It creates confusions in setting research hypothesis
 - B. It helps in replication of study findings
 - C. It assists in conceptualizing study problems
 - D. It provides a baseline for organizing out dated information for recent topics
99. Which one of the following is not true about the consequences of multicollinearity?
- A. Leads to the acceptance of the zero null hypothesis
 - B. R^2 can be very high
 - C. the OLS estimators have small variances
 - D. The confidence interval is much wider
100. The normality assumption implies that:
- A. The population u is dependent on the explanatory variables and is normally distributed with mean equal one and variance
 - B. The population u is independent of the explanatory variables and is normally distributed with mean equal one and variance
 - C. The population u is dependent on the explanatory variables and is normally distributed with mean equal zero and variance
 - D. The population u is independent on the explanatory variables and is normally distributed with mean equal zero and variance
101. Which of the following identifies the advantage of using adjusted R^2 over R^2 ?
- A. Adjusted R^2 corrects the bias in R^2
 - B. Adjusted R^2 is easier to calculate than R^2
 - C. The penalty of adding new independent variable is better understood by adjusted R^2 than R^2

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- D. Adjusted R^2 can be calculated for model of logarithmic function easily than R^2
102. All are correct about the Durbin Waston d test, except?
- A. The d-statistic equals zero if there is extreme positive serial correlation
 - B. The d-statistic equals zero if there no serial correlation
 - C. The d-statistic equals two if there is no serial correlation
 - D. The d-statistic equals four if there is extreme negative serial correlation
103. What is the meaning of the term Multicollinearity?
- A. The variance of the dependent variable is not constant
 - B. The errors are not linearly independent of one another
 - C. The errors have non-zero mean
 - D. The explanatory variables are highly correlated
104. Which one of the following statement is true regarding residuals in regression analysis?
- A. Mean of residuals is always less than zero
 - B. Mean of residuals is always greater than zero
 - C. Mean of residuals is always zero
 - D. There is no such rule for residuals.
105. An estimator is unbiased if?
- A. Its expected value is the true value of the parameter
 - B. Its expected value is not the true value of the parameter
 - C. Its unexpected value is the true value of the parameter
 - D. Its expected value is less than the true value of the parameter
106. An estimator is consistent if?
- A. It converges to the true value as the sample size remain the same
 - B. It converges to the true value as the sample size gets smaller
 - C. It converges to the true value as the sample size gets larger
 - D. It diverge from the true value as the sample size gets larger
107. A data set that consists of a sample of individuals, households, firms, cities, regions, or a variety of other units, taken at a given point in time, is called?
- A. Cross-sectional data set
 - B. Longitudinal data set
 - C. Time series data set
 - D. Experimental data set
108. If a change in variable X causes a change in variable Y, Variable X is called
- A. Dependent variable
 - B. Explanatory variable
 - C. Explained variable
 - D. Response variable
109. If the residual sum of square in a regression analysis is 66 and the total sum of square is equal to 90, what is the value of the coefficient of determination?
- A. 0.73 B. 0.55 C. 1.2 D. 0.27
110. What is the degree of freedom in a regression model that has 10 observations and 7 independent variables?
- A. 3 B. 17 C. 2 D. 4
111. Which of the following tools is used to test multiple linear restrictions?
- A. t-test B. F-test C. z-test D. error-test
112. Which of the following Gauss Markov assumptions is violated by the linear probability model?
- A. The assumption of constant variance of the error term
 - B. The assumption of zero conditional mean of the error term
 - C. The assumption of no exact linear relationship among independent variables
 - D. The assumption that none of the independent variables are constants
113. Suppose the cost and revenue function are given as: $TC = 500 + Q^2$ and $TR = 12Q - 2Q^2$ Where TC = Total cost, Q = level of output, TR = Total revenue. What is profit maximizing level of output?
- A. 2 unit B. 4 unit C. 6 unit D. 8 unit

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114. What is the minimum transportation cost for the following table by using least cost and North West corner method respectively?

- A. 105 and 830
B. 890 and 622
C. 542 and 753
D. 420 and 652

Company	Warehouses			
	K	L	M	Supply
A	10	8	9	15
B	5	2	3	20
C	6	7	4	30
D	7	6	9	35
Requirement	25	26	49	

115. Using the standard error test, the decision rule is based on;

- A. If $se(\hat{\beta}_i) > \frac{1}{2} \hat{\beta}_i$; We should accept the alternative hypothesis
B. If $se(\hat{\beta}_i) > \frac{1}{2} \hat{\beta}_i$; We should accept the null hypothesis
C. If $se(\hat{\beta}_i) < \frac{1}{2} \hat{\beta}_i$; We should accept the null hypothesis
D. If $\frac{1}{2} \hat{\beta}_i < se(\hat{\beta}_i)$; We should accept the alternative hypothesis

116. Consider the equation, $Y = \beta_1 + \beta_2 X_2 + u$. A null hypothesis, $H_0: \beta_2 = 0$ states that:

- A. X_2 has no effect on the expected value of β_2 .
B. X_2 has no effect on the expected value of Y .
C. β_2 has no effect on the expected value of Y .
D. Y has no effect on the expected value of X_2 .

117. Suppose we have two firms, A & B, and a choice of two strategies for each: advertise or don't advertise. In the payoff matrix below, the first number in each of the four cells refers to the payoff (profit in this case) for firm A, while the second is the payoff (profit) for firm B. Therefore, which one of the following is not true?

The payoff matrix

		Firm B	
		Advertise	Don't advertise
Firm A	Advertise	5, 4	6, 2
	Don't advertise	3, 6	4, 3

- A. Advertising is the dominant strategy for firm B
B. Does not advertising is the dominant strategy for firm A
C. The cell (5, 4) is the Nash equilibrium
D. The game has dominant strategy equilibrium

118. What value needs to be placed in C for Firm A to have a dominant strategy?

The payoff matrix

		Firm B	
		Selling	Don't selling
Firm A	Selling	3, 4	0, 5
	Don't selling	C, 0	1, 1

- A. 3 B. 2 C. 1, 0 D. 4, 5

119. From the data given below, what is the average fixed cost (AFC) of producing second unit of output?

Output(units)	0	1	2	3	4	5
Total cost(birr)	30	90	110	120	140	180

- A. 30 B. 110 C. 15 D. 80

120. Suppose that demand schedule of an individual for tomato is given below. So, what is the demand function of tomato for an individual?

Price of tomato (P)	0	4	8	12	16	20	24
Quantity of tomato (Q)	300	250	200	150	100	50	0

- A. $Q = 300 + 12.5P$ B. $Q = 300 - 12.5P$
C. $Q = 300 + 13P$ D. $Q = 300 - 13P$

Hard Work Matter Your Results!!